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AS OF NOW, NO PROPOSAL TO EXTEND MONSOON SESSION: PARLIAMENTARY AFFAIRS MINISTER

Govt reaches out to Opp, ready to soften FCRA Bill, allay concerns

Rijiju meets Rahul to break deadlock; Opp seeks Shah statement on police action on protesters

Deeptiman Tiwary, Liz Mathew & Manoj C G
New Delhi, August 5

ON THE day it reached out to the Opposition in an attempt to break the deadlock in Parliament where proceedings remain disrupted, the government Wednesday signalled that the Foreign Contribution (Regulation) Amendment Bill,

Opposition MPs protest outside Parliament, Wednesday. PTI

2026 would not have any penalising retrospective provision.

Civil society and religious groups have expressed concern that asset-vesting rules in the

»CONTINUED ON PAGE 2

Money Bill route pending before SC, Govt chooses it to raise strength of judges

Apurva Vishwanath
New Delhi, August 5

THE RAJYA Sabha Wednesday passed the Supreme Court (Number of Judges) Amendment Bill, 2026, which seeks to increase the sanctioned strength of Supreme Court judges from 34 to 38 including the Chief Justice of India.

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The Bill, which cleared Lok Sabha Monday, was passed as a money Bill, a route it had also taken in 2019 when the Supreme Court strength was raised to 34. In 2018, a key dissenting opinion in a Supreme Court ruling had described this route as a "fraud on the Constitution."

The Statement of Objects and Reasons of the Bill cites the expenditure involved in creating four additional posts of judges,

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EXPRESS special

'Can't leave without justice': Jharkhand protest brings job aspirants together

Protest swells into a wider movement for reforms in recruitment, education

Leader of Opposition in Jharkhand Assembly Babulal Marandi at the protest site in Ranchi, Wednesday. PTI

Shubham Tigga
Ranchi, August 5

BRAHMANAND KUMAR Mahato from Ramgarh lies on a thin mat beneath the statue of Olympian, writer and politician Jaipal Singh Munda at Ranchi's iconic Jaipal Singh Munda Stadium.

His white shirt, unchanged for four days, is drenched in sweat and the pouring rain, the streaks of mud on it the only real indication of the passage of time. Around the 30-year-old, fellow protesters sit gently pressing his arms and feet, while doctors hover nearby to monitor his health.

"I had no idea how a hunger strike was observed. I've never done it before. I just came here, lay down and began my protest," Mahato says, his voice feeble. "I don't know how long this will continue, but if this is what it takes to get justice, I'm prepared to stay here."

Mahato is one of seven people who have been on a hunger strike for the last four days as part of a wider movement for sweeping reforms in Jharkhand's recruitment and education system, long rife with allegations of irregularities.

The controversy began soon after the Jharkhand Public Service Commission (JPSC)

»CONTINUED ON PAGE 2

RBI keeps interest rates unchanged, opts for caution amid uncertain global outlook

Monetary Policy Committee raises growth outlook, cuts inflation forecast marginally

Akash Mandal & George Mathew
Mumbai, August 5

THE RESERVE Bank of India's Monetary Policy Committee (MPC) Wednesday kept its key policy repo rate unchanged at 5.25 per cent, opting for caution as volatile crude oil prices, geopolitical tensions in West Asia and an uncertain global outlook cloud the inflation trajectory.

While the central bank maintained the neutral policy stance and marginally raised its growth forecast for FY27 to 6.7 per cent from 6.6 per cent, it lowered its inflation projection to 5 per cent from 5.1 per cent, signalling confidence that price pressures will moderate over the course of the year despite near-term risks.

RBI Governor Sanjay Malhotra (third from left) and Deputy Governors Shirish Chandra Murmu, Swaminathan Janakiraman, Poonam Gupta and Rohit Jain in Mumbai, Wednesday. PTI

The decision, taken unanimously by the six-member MPC chaired by RBI Governor Sanjay Malhotra, means borrowing and deposit rates are

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[FROM PAGE 1 | FULL REPORTS ON WWW.INDIANEXPRESS.COM]

FCRA Bill

Bill could be used to penalise past investments.

Sources told *The Indian Express* the introduction of the Bill during the ongoing Monsoon Session — it is scheduled to end August 13 — will depend on the Opposition's readiness to allow a debate.

Jonathan Lalremruata, adviser and coordinator of the Catholic Bishops' Conference of India, told *The Indian Express*: "When the CBCI delegation met the Home Minister, we were promised that the law will not be retrospective."

A senior BJP leader too said, "It is a promise that the BJP has made to the minority groups." Another BJP leader, who hails from a southern state, said, "The introduction of the Bill hopefully demolishes the propaganda by the Congress and other vested interests that this is meant to target Christians."

Sources said Mizoram CM Lalduhoma is scheduled to meet Union Home Minister Amit Shah Thursday and this issue is expected to come up.

The concerns are over a framework for vesting assets created through foreign contributions with a government-designated authority when an organisation's FCRA registration is cancelled, surrendered or ceases. This has caused anxiety among Christian organisations because many churches and institutions have been built using foreign contributions.

A senior government official, however, said the intent of the proposed law is to ensure continuity in the management of institutions if there is a break in their FCRA registration.

"Basically, it is to ensure that there is proper management of the institution if there is a discontinuity. There will be an interim management which will take care of the property and, if there is return of the original owner or institution, it will be handed back to them. We are very clear that a religious institution should be managed according to the practices of the religion to which it belongs. The Bill has been drafted accordingly," the official said.

Critics have pointed to three provisions in the Bill. Section 14B introduces the concept of "cessation" of an FCRA certificate. It says a certificate is deemed to have ceased if an organisation does not apply for renewal, its renewal is refused or it expires without being renewed.

Section 16A provides that once a certificate has ceased, foreign contributions received by the organisation and assets created from them will vest in a Designated Authority. The authority can manage the assets and, if the organisation subsequently secures a fresh or renewed registration within the prescribed period, return them. If that does not happen, the assets permanently vest with the authority, which may transfer them to government departments or agencies or dispose in accordance with the law.

Section 16B applies the new framework to assets already vested under the earlier law before the amendment comes into force. Critics argue that, read together, these provisions could also affect organisations whose FCRA registrations had lapsed years ago. According to this interpretation, even organisations that had stopped receiving foreign donations and were functioning entirely on domestic funds could be brought within the new vesting framework because their certificates had "ceased", potentially bringing assets such as schools, hospitals and community centres built with foreign contributions under the control of the Designated Authority. The government, however, has not stated in the Bill that this is its intended effect.

Meanwhile, Parliamentary Affairs Minister Kiren Rijiju met LoP Rahul Gandhi Wednesday to seek his cooperation for smooth functioning of Parliament.

Sources said Rijiju, during the nearly 50-minute meeting with Gandhi, flagged the pending legislative agenda, including the proposed amendment to the FCRA and the possible re-introduction of a constitutional amendment Bill linked to the Delimitation Bill.

The government, sources said, did not get any commitment from Opposition which reiterated its demand that Shah make a statement in the House on the police action on protesting students and youths in Delhi on July 20, and that Parliament discuss the alleged theft of donation money at the Ram temple in Ayodhya.

Congress sources said the party leadership told Rijiju that it was opposed to delimitation at this juncture and that there was no change in its stance on the issue. Rijiju asked the Congress to reconsider its position.

Speaking to *The Indian Express,* Rijiju said, "I have extended an offer to the LoP to engage in a conversation even if there are differences between the ruling side and Opposition. Let's see what the Opposition comes up with. But, as of now, there is no proposal to extend the ongoing session."

Congress leaders said the Opposition parties would deliberate on the issues raised by Rijiju before Parliament reconvenes Thursday morning. Sources said informal discussions are continuing with even the DMK, which has charted a separate course this session. The DMK has been upset with the Congress over its decision to snap ties with it and join hands with the Vijay-led TVK to form a government in Tamil Nadu after the recent Assembly elections.

Jharkhand

declared the preliminary examination results of the 14th Combined Civil Services Examination earlier this month. The Commission shortlisted 2,204 candidates for the Main examination against 103 vacancies, but allegations of irregularities began soon after. Around 3.5 lakh people took the exam.

At the heart of the protests, which come against the backdrop of the developments at New Delhi's Jantar Mantar, are allegations of paper leaks in the exam. The Hemant Soren government has tried to act fast — 16 people have been arrested, and the Chief Minister has said they stand with the youth.

On Wednesday, Ranchi SDM Kumar Rajat and ADM Dhananjay Kumar met the protesters at the site and invited a delegation to a discussion at the CM's residence. A delegation of protesters will meet the state government Thursday.

The Cockroach Janta Party has, meanwhile, expressed solidarity with the protesters, while a delegation of the Congress — an ally of the ruling JMM — met Soren to seek his intervention.

Mahato, who, even in the pouring rain, has refused to move, says he resigned from a contractual government job with the Central Silk Board to join the agitation.

A first-division student, Mahato, who has a PhD in Botany, was among the 150 candidates who had cleared the Jharkhand Staff Selection Commission's (JSSC) Keetpalak (silkworm rearer) recruitment exam in 2023. But he is one of the 30 candidates whose appointment is still in abeyance. In November 2025, these 30 candidates approached the Jharkhand High Court. The case is still being heard.

"We still don't know why our appointment was held," he says. "They keep making us run around but never tell us what the problem is."

The protest, led by JSSC-JPSC Bhrashtachar Mukht Abhiyan, initially began as a small gathering at Ranchi's Bapu Vatika on June 25 to demand action over the irregularities, but has now swelled into a wider student movement, gaining support from hundreds of people, from students and political outfits to civil society groups.

The protest site is bustling with social workers and volunteers, who bring food for the protesters throughout the day. On Wednesday, hundreds trickled in to show solidarity.

Metres away from the main entrance, 37-year-old Mohammad Shamsher Alam from Dhanbad sits cross-legged with documents spread around him – scorecards, court orders, recruitment notifications and appointment-related papers accumulated over nearly a decade. Alam, a PG in Urdu with a B.Ed., successfully appeared for the JSSC Combined Graduate Trained Teacher (TGT) Competitive Exam in 2016. The recruitment process for nearly 17,786 posts began in 2019, but more than 6,000 candidates are still waiting.

For the last 12 days, Alam, who does odd jobs to make ends meet, has been at the protest site, away from his wife and two children.

"I came with a small bag of clothes, unsure of when I will return. Candidates who scored 50-60 marks lower than me were appointed. It's been 10 years since I cleared the exam. I got married, have children now, and I've taken up private work to support my family, but I still haven't got the job I qualified for."

Sitting next to him is 40-year-old Anandi Kumari from Lohardaga, her two-and-a-half-year-old daughter playing beside her with a ball. "A decade has passed. I have crossed the age limit to appear for any other recruitment exam. My daughter keeps telling me, 'Mummy, let's go home,' but I can't leave until we get justice," she says.

The protests have led several leaders to the protest site. LoP Babulal Marandi, who visited the protest site Wednesday, called the demands "genuine".

Soren, however, insisted his government is doing all it can: "Our government is working on this matter with complete seriousness. The agencies are conducting investigations day and night, and the culprits are being sent to jail."

RBI

expected to remain stable for now. Home, vehicle and gold loan borrowers are unlikely to see any change in their EMIs, while banks are also expected to maintain existing fixed deposit and savings account rates unless they choose to revise them independently.

The RBI's decision comes against the backdrop of heightened uncertainty in global markets. The continuing conflict in West Asia has kept international crude oil prices volatile, posing inflationary risks for India, which imports the bulk of its crude oil requirements. Elevated energy prices have the potential to feed into transportation and production costs, making inflation management more challenging.

Unveiling the monetary policy, Malhotra indicated that the RBI has opted for continuity as global uncertainties continue to weigh on the economic outlook. "Financial markets remain volatile, fluctuating in line with the changing intensity and uncertainty of the West Asia conflict," he said.

While headline inflation has moved above the RBI's medium-term target, the rise has largely been driven by food and fuel prices rather than broad-based demand pressures.

"The MPC noted that headline inflation has edged up above target, as expected. The realised inflation for Q1, however, remained marginally lower than projections, reflecting limited power through post pressure. The higher inflation is mostly on account of fuel and food, with little signs of generalisation of price pressures so far," Malhotra said. "It is expected to peak in Q3 of this year. Primarily again, due to food and fuel, and thereafter, moderate."

His remarks indicate that the RBI is not inclined to either tighten or ease monetary policy until there is greater clarity on the inflation outlook. Although economic growth remains resilient, the central bank believes the balance between supporting growth and containing inflation has become more complex amid global uncertainties.

"The outlook, however, is hazy because of the uncertainties regarding south-west monsoon, El Nino, geopolitics and global trade policy. There is a need for greater clarity to emerge, especially regarding inflation, its path and composition before taking any policy action," he said.

"Any such action (on the interest rate front) would also have to consider the need for recalibration of policy rates in line with the evolving growth-inflation dynamics, especially the normalisation of the underlying inflation from its benign levels seen hitherto," Malhotra said.

He said the Indian economy, especially the agriculture sector, has demonstrated great resilience. "The monsoon is still evolving, with El Nino conditions developing, but it has remained resilient. Measures undertaken by the government such as distributed irrigation and raw material availability have helped," he said.

Money Bill

along with staff, residences and security.

"This will increase the expenditure on account of pay and allowances on creation of four additional posts of Judges in the Supreme Court along with required staff. The Judges will also be entitled to the use of a rent-free official residence. Each Judge will have to be provided with personal staff at residence and office. Expenditure would also be incurred in connection with the deployment of security for Judges. The estimated recurring expenditure on salaries of four Judges and their staff, conveyance and other miscellaneous expenses would be rupees 10,56,81,648 per annum and non-recurring expenditure towards car and furnishing of official residence and other miscellaneous expenses will be approximately rupees 3,47,36,000. Thus, the total expenditure on creation of additional four posts of Judges in the Supreme Court of India will be of rupees 14,04,17,648 approximately," the Bill stated.

The issue of whether a Bill can be certified as a money Bill is a key question pending for consideration by a seven-judge Constitution Bench. In 2023, the then Chief Justice of India D Y Chandrachud had said that the case would be listed for hearing soon. However, the issue is yet to be taken up.

Article 110 of the Constitution deals with money Bills. A money Bill is a Bill that, in the opinion of the Speaker of the Lok Sabha, deals with taxation, appropriation of public funds – the Consolidated Fund of India or the Contingency Fund of India.

A money Bill can only be introduced in the Lok Sabha, and the Speaker categorising a Bill as a "money Bill" means that it need not be passed by the Rajya Sabha. The Union Budget, for example, is a money Bill. Article 110(1) (g) adds that "any matter incidental to any of the matters specified in Articles 110(1)(a)-(f)" can also be a money Bill. This additional clause has been the basis for the Modi government to pass key legislations as money Bills in its previous terms. The Opposition had argued then that this was done only because the government did not have the numbers to get these legislations cleared in the Rajya Sabha.

The constitutionality of three major laws, including the Prevention of Money Laundering Act, are yet to be examined by the larger bench in the light of whether these laws qualify to be passed as a money Bill. The other two are the Aadhaar Act and the 2017 amendments altering service conditions of Tribunals.

While the PMLA and Aadhaar Act were substantially upheld by the Court, the Supreme Court struck down the tribunal amendments as unconstitutional. However, in both rulings the issue of money Bill was left to a larger bench to decide.

Justice D Y Chandrachud, the lone dissenter in the Aadhaar ruling of 2018, criticised the government for passing the Aadhaar Act as a money Bill. He had called it a "fraud on the Constitution" and "subterfuge". The government had argued that since the subsidies distributed through Aadhaar flow from the Consolidated Fund of India, the law is validly categorised as a money Bill.

Later, a five-judge bench of the Supreme Court in 2019 struck down the law as unconstitutional for interfering with judicial independence; it referred the money Bill aspect to a larger bench.

In doing so, the Court also expressed doubts over the correctness of a five-judge Constitution Bench's 2018 verdict upholding the Aadhaar Act, which had been passed as a money Bill.

CJP'S JULY 20 MARCH

Protesters during the march last month. FILE

Listen to youth ... forces need to have lot of restraint: SC

Express News Service
New Delhi, August 5

MAINTAINING THAT the state must listen to the youth and counsel them, the Supreme Court, while hearing a plea seeking accountability for the violence during the CJP's Sansad Chalo march on July 20 over NEET-UG paper leak, cautioned Wednesday that an "aggressive" response from the state could unnecessarily escalate the situation into further violence.

"If some misguided element is indulging in stone pelting etc, still... youngsters are required to be pacified, counselled. They need a lot of advisory consulting. Any aggressive force coming from the other side in the name of the mighty state may also unnecessarily aggravate the situation and precipitate... further violence. That needs to be avoided. Law and order machinery is well conversant with this situation," Chief Justice of India (CJI) Surya Kant said, presiding over a three-judge bench.

He said when a protest commences with a peaceful march, and some kind of incident takes place, "forces also need to have a lot of restraint in order to ensure that the situation does not go out of hand".

"Stray incidents here or there, we need to tread very carefully... so that the youngsters don't indulge in violence. The better course is to counsel them, to pacify them. The best powerful source is listening. Listen to them why they are shouting....," the CJI said.

The bench, also comprising Justices Joymalya Bagchi and V Mohana, was hearing a writ petition by former Air Force official Maneesh Kumar Solanki. Appearing for the petitioner, advocate Rizwan Ahmed said it is understandable if the protests were about fixing accountability of the minister or police. "Moot question is, 15 days have passed, where is the accountability of the so-called organisers?"

Apparently referring to the CJP, he added, "Why I am saying so is because it is not a registered organisation."

Ahmed said that the organisers of the march are still fanning the flames through provocative statements moving from channel to channel.

The counsel said the organisers are held responsible even if there is a religious congregation and there is some negligence or if there is a fire in a pandal. He added, "In this case, if the government is on the backfoot, society cannot be on the backfoot, the law cannot be on the backfoot..."

Ahmed pointed out that there was a law and order problem in Rajasthan on Tuesday. "A young man has died. So, if the government is bending over backwards in a matter of national capital, will the government set up a precedent for Rajasthan? There also, the government will bend backwards to accommodate students... Tomorrow in Lucknow, a degree college student... for some demand... starts stone pelting on buses; will the government in Uttar Pradesh also bend backwards?" he said.

He further said, "In a society, everybody is important. The fraternity of law is important, fraternity of farmers is important... fraternity of people saying reservation should not be there is important."

Ahmed said the petition only sought community service for the wrongdoers and not any punitive measure. "Stone pelters cannot be just allowed to go scot-free without any consideration just because the government was caught on the wrong foot."

"Today the government is there, tomorrow it won't be there...This is a very dangerous precedent," he added.

He said, "Three years back, the farmers were at Shambhu border... People (were) at Shaheen Bagh. Tomorrow, Generation Alpha, Beta, Gama, Delta will come. The people at the Shambhu border, tomorrow they will come to the Parliament with the tractors. Tomorrow, people from Shaheen Bagh will come to the Parliament with tractors...".

Ahmed said the organisers of the July 20 March had flouted several conditions imposed by the police.

"Parliament is the temple of democracy. We have to see the motive and intention. If 500 people would have entered the Parliament... who knows they were not carrying a country-made gun? Who knows they were not carrying some country-made bomb? The Parliament security is not made to handle 500 people. It is a highly sophisticated weapon force; they would have opened fire. What would have happened?" he said.

The court tagged the petition with other pleas on the student protests' issue. "We will hear you again. Let's also see what the view of the central government is. And we are open to hearing everyone...," the CJI said.

NAREDCO TALKS OF HEAVY FINANCIAL BURDEN, URGES GOVT TO CONSULT STAKEHOLDERS

Reconsider blanket ban on construction during winter, industry body writes to CM

Devansh Mittal
New Delhi, August 5

PRIVATE DEVELOPERS have urged the Delhi government to reconsider the curbs it had issued on construction activities during winter to check pollution, saying the blanket restrictions lack scientific backing and could hurt the real estate sector as well as contractors and workers.

The Delhi government's ambitious winter action plan, notified last month, makes measures such as construction curbs, staggered office timings and vehicle restrictions mandatory every year from November 1 to February 28, a departure from the existing system where restrictions are linked to the prevailing pollution levels.

In a letter to Chief Minister Rekha Gupta on Tuesday seeking a review of the curbs, the Delhi chapter of real estate industry body National Real Estate Development Council (NAREDCO) said the restrictions notified by the government had "caused widespread concern across the infrastructure sector".

As per the plan, demolition and open civil construction activities that generate dust will be prohibited from November 1 to January 31, with an exemption for essential public infrastructure projects. Finishing work, plumbing and electrical installations inside construction sites will continue to be permitted, subject to dust-control norms. Between December 10 and January 20, only government projects deemed indispensable for public utility or emergencies will be allowed, and vehicles carrying construction material will be barred from entering Delhi.

In the letter, NAREDCO Delhi president Harsh Vardhan Bansal said the construction industry supported "all scientific, practical and effective measures aimed at improving Delhi's air quality".

However, he said prolonged halt on construction work would impose a heavy financial burden on developers, who continue to bear fixed costs such as EMIs on heavy machinery, bank interest, equipment lease rentals, security expenses, wages and statutory compliance costs even when work is suspended. Repeated annual shutdowns during the peak construction season, the letter said, could strain cash flows and push MSMEs, contractors, subcontractors and vendors into financial distress.

Demolition and open civil construction activities that generate dust will be prohibited from November 1 to January 31 every year. FILE

The NAREDCO questioned the rationale behind a blanket suspension of construction activities, maintaining that no source-wise scientific assessment had been made public to justify such a ban. It argued that Delhi's air pollution is caused by multiple sources, including vehicular emissions, road dust, industrial emissions and stubble burning, and that "focusing disproportionately on one sector" would not ensure equitable regulation.

According to the 2018 TERI source apportionment study, construction contributes 8.4% of Delhi's PM2.5 emissions and 21% of PM10 emissions.

The letter further said that construction is among India's largest employment generators. "Whenever construction activity is suspended, many migrant workers return to their native places. Experience has shown that a significant number do not return immediately, which could lead to loss of livelihoods," it added.

The Delhi government, as well other NCR governments provide compensation to construction workers who are impacted by these curbs. Last year, Delhi government had announced a Rs 10,000 compensation for each worker affected by imposition of Graded Response Action Plan (GRAP).

The industry body asked the government to put out a detailed list of activities which would be permitted and prohibited during winter, and to reconsider the blanket prohibition. It also requested the government to hold stakeholder consultations before implementing measures having significant economic implications.

Queries sent to the Delhi government did not elicit a response.

The government has said the winter action plan is based on air quality trends over the last three winters, during which Delhi consistently recorded 'Very Poor' to 'Severe' air quality index (AQI). The measures, which will automatically come into effect from November 1 to February 28 irrespective of the prevailing AQI, will operate alongside GRAP, whose repeated implementation and withdrawal has drawn criticism from experts in recent years.

Skywatch

Forecast: August 6, 2026
Generally cloudy sky. Very light to light rain.

MAX: 31-33
1.2°C below normal

MIN: 22-24
4.9°C below normal

AQI Tracker

IGNOU Good AQI: 44	**Dwarka** Good AQI: 50
Alipur Satisfactory AQI: 97	**Vivek Vihar** Satisfactory AQI: 84

- Good (0-50)
- Satisfactory (51-100)
- Moderate (101-200)
- Poor (201-300)
- Very Poor (301-400)
- Severe (401-500)

BOMBAY HC TERMS VIDEOS, DIGITAL CONTENT 'ABUSIVE, VILE'

Meta and Google to take down Gadkari deepfakes on E20 row

Omkar Gokhale
Mumbai, August 5

THE BOMBAY High Court on Wednesday granted interim relief to Union Road Transport and Highways Minister Nitin Gadkari in his suit against allegedly defamatory AI-generated deepfake videos and manipulated digital content linked to the ethanol-blended fuel controversy.

The High Court observed that the content in question was "abusive, vulgar and vile fuelling venom" and the platforms, including Meta and Google LLC, assured the court that they would take down the offending material flagged by Gadkari in his interim application. It also said that any material recirculating the content in question should be taken down and that, in the event that further similar abusive deepfake content and material is circulated against Gadkari, it shall be communicated to the defendant platforms, which shall act on it.

"I can only say that the same is absolutely vile, abusive and defamatory and such material should not have a place on a public platform which is accessed by all sections of society including young people. Therefore, I am satisfied that the applicant (Gadkari) has made out a case for the grant of ad-interim relief," Justice Arif S Doctor said.

The Court was hearing an interim application by Gadkari seeking immediate relief in his suit against Meta platforms, X

Union Minister Nitin Gadkari and BJP MP Ravi Kishan during a meeting on Wednesday. PTI

Corp, Google LLC, among others, including John Doe (all unknown persons), seeking the removal of the 'defamatory' content. The application referred to 26 links featuring face-swap videos, AI-generated images and cartoons that allegedly use his name, face, voice and mannerisms without his consent and sought damages of Rs 11 crore from the defendants.

Gadkari had stated that the purpose of his civil suit against Meta platforms was not to prevent public discussion or criticism of his actions or government policies.

Advocate Sandeep S Ladda, representing Gadkari, sought urgent relief pending hearing of the suit in respect of the content appearing on the respective Meta platforms, and Google LLC and also referred to an Instagram reel giving no specific and clear user details. Therefore, Ladda said the publishers of the defamatory and abusive material had been joined as John Doe or Ashok Kumar (unknown persons) in the matter and that the content in question was required to be pulled down.

Ladda also raised a grievance that the minute such offensive material is uploaded, it gets republished and recirculated, and the same should also be taken down. He said that the defendant platforms, which are intermediaries, have a mechanism in place under the Information Technology (IT) Rules and they should ensure due diligence.

"This is absolutely abusive. Do you have a policy to pull this down? With all this technology at your disposal, don't you earmark posts that have patently vile, abusive language, that are accessed by everybody and trigger?" Justice Doctor orally questioned the defendant's platforms.

The lawyers representing Meta Platforms and Google LLC stated they would take down the material in question, which the court accepted.

The Court also directed the defendant platforms to furnish the information of the subscribers who have posted the offending material.

Additional Solicitor General (ASG) Anil Singh, representing the Union Ministries of Electronics and Information Technology and Telecommunications, also said that such content cannot be tolerated and that the departments will extend cooperation in the matter.

The Court sought affidavits in reply by the defendant platforms to the plea within three weeks and posted the next hearing after four weeks.

RS passes judges Bill; Opp raises ordinance route, diversity deficit

Damini Nath & Divya A
New Delhi, August 5

THE RAJYA Sabha on Wednesday approved the Supreme Court (Number of Judges) Amendment Bill, 2026, which replaces an ordinance promulgated in May to increase the strength of the apex court judges from 34 to 38, including the Chief Justice of India.

The Money Bill was passed by the Lok Sabha Monday, and the Upper House cleared it with a voice vote and returned it to the Lower House after a nearly two-hour discussion Wednesday.

Law and Justice Minister Arjun Ram Meghwal introduced the Bill when the House reconvened at 2 pm. Starting the discussion, Congress MP and Senior Advocate Vivek Tankha asked why the government had chosen the ordinance route just four days before the Supreme Court was to start its summer vacation. He questioned the government's "hurry" to bring the ordinance, when Parliament was due to meet in July anyway.

As Tankha began raising the issue of the Supreme Court judgment on the abrogation of Article 370, Deputy Chairman Harivansh reminded him to stick to the Bill. Harivansh then called on the next speaker, leading to protests by Opposition MPs, stressing that Tankha be allowed to speak. The Congress MPs then walked out in protest. Later, other Opposition MPs too staged a walkout. Several Opposition MPs raised the issue of lack of ad-

Law and Justice Minister Arjun Ram Meghwal, who introduced the Bill, speaks in Rajya Sabha on Wednesday. PTI

equate representation of SC, ST, minority and vulnerable groups in the judiciary, while many MPs demanded regional benches of the top court be set up in their respective states.

TMC MP and Senior Advocate in the Supreme Court, Menaka Guruswamy, said the Bill doesn't address the problems of the judiciary. "The problems are that the Central government will not appoint women to the judiciary, they will not appoint lower castes to the judiciary, they will not appoint religious minorities to the judiciary, they will not appoint gay people to the judiciary."

P Wilson of the DMK said access to justice should be made easily available. He demanded that a Bench of the top court be established in Chennai. "There is a diversity deficit in the High Courts and Supreme Court."

Earlier this year, in reply to a question by Wilson, the Law Ministry provided data that showed that out of the 593 judges appointed to the Supreme Court and High Courts from January 1, 2021, to January 30 this year, 26 were from SCs, 14 were from STs, 80 from OBCs and 37 from minorities. In total, 96 women were appointed to High Courts.

Several MPs also raised the demand for increasing judges' strength in the district courts.

National Conference MP Chowdry Mohammad Ramzan said it would have been better had the government brought a Bill to increase the strength of judges in the lower courts, where crores of cases are pending.

AAP's Sanjay Singh questioned the government over the lack of representation of vulnerable groups in the judiciary. Parliamentary Affairs Minister Kiren Rijiju said the Centre notifies the appointments, but the recommendations come from the Supreme Court Collegium.

JMM MP Mahua Maji asked whether the judiciary's issues would be addressed by increasing the strength of the Supreme Court judges, saying that 5.07 crore people were waiting for justice in courts across India.

Replying to the discussion, Meghwal said the four new judges would enable the court to set up dedicated benches to hear long-pending cases. He said the availability of judges had increased from about 16 per 1 million of population in 2014 to 22 now. He said it was the responsibility of the respective High Courts and state governments to fill vacancies in the subordinate courts.

Earlier in the day, proceedings of the Upper House were disrupted as Opposition leaders continued to demand answers from Union Home Minister Amit Shah for police action on student protesters. When the House convened at 11 am, papers were laid amid protests by the Opposition MPs, raising slogans, "Home Minister, *sadan mein aao*".

However, continuing with the business, Chairman C P Radhakrishnan called BJP MP from J&K Sat Paul Sharma to speak. "On August 5, 2019, under the leadership of Prime Minister Narendra Modi, Article 370 was abolished, and Jammu and Kashmir got a new identity… J&K was brought into the mainstream," Sharma said.

Outside Makar Dwar, Rajya Sabha MPs Ramzan Chowdhary, Sajjad Kichloo and Shammi Oberoi joined INDIA Bloc leaders to demand immediate restoration of full statehood to J&K. As sloganeering continued, Radhakrishnan read out Rule 235, warning action against the MPs: "I will take action against you… don't force me to do that."

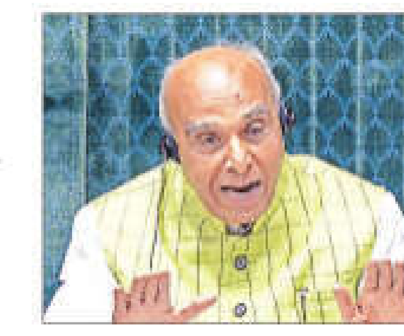
Meanwhile, AIADMK MP M Thambi Durai urged the government to consider changing the name of the Madras High Court to the High Court of Tamil Nadu, stating it is the aspiration of the state's people. Madras stopped being the name of the state capital three decades ago, he said.

The House was adjourned till 12 noon after Opposition MPs continued to raise slogans. As soon as the House reconvened at noon, Radhakrishnan advised members not to enter the Well of the House and never show placards, failing which he would be forced to take action. "These two things you have to follow. If any member is not following these two instructions… I will be forced to take action," he said, and took up the Question Hour.

However, the Opposition parties continued to raise slogans in support of their demand. The Chair adjourned the House till 2 pm. During Question Hour, Union Road Transport Minister Nitin Gadkari informed the House that India records 1.80 lakh road accident deaths annually. Responding to queries amid Opposition protests, he emphasised that human behaviour and driver training remain major factors behind the crashes.

LS clears Bankers' Books Evidence Bill with voice vote amid Opposition din

Vikas Pathak & Asad Rehman
New Delhi, August 5



Jagdambika Pal presides over the Lok Sabha, Wednesday. PTI

THE LOK Sabha was adjourned as it convened at 2 pm for the second half on Wednesday, soon after the Bankers' Books Evidence Bill, 2026, was passed by voice vote without debate amid Opposition din.

Earlier, when the Lok Sabha convened at 11 am, the House was adjourned within minutes, as Opposition members started raising slogans and disrupted the Question Hour. Speaker Om Birla asked the protesting members to allow the Question Hour to function. A visibly upset Birla said raising slogans inside and outside the House was not good for democracy. He then adjourned the House until 2 pm.

At 2 pm, Jagdambika Pal, who was in the Chair, requested Opposition members to return to their seats so that the Zero Hour could start. He underlined that the Zero Hour and Question Hour were important for Parliamentary functioning. However, the ruckus continued.

Pal then asked Finance Minister Nirmala Sitharaman to take up the Bankers' Books Evidence Bill, 2026, for consideration and passing. The Bill was passed by a voice vote.

The Bill repeals and replaces the Bankers' Books Evidence Act, 1891, providing for certified copies of bank records to be used as evidence in legal proceedings without requiring production of the original records. It lays down that an authentic digital record of a banker's book will be legally enforceable as evidence, thus bringing legal requirements in sync with the realities of the banking system, explains PRS Legislative Research in its analysis of the Bill.

Union Minister of Parliamentary Affairs Kiren Rijiju said Congress leader K C Venugopal was a "good man" but of no use if he cannot convince his fellow members to allow the House to function. "People can see that it is the target of the Opposition to not let Parliament function," he said, adding that the government gave all the time for debate in the Business Advisory Committee, but Bills were being passed without debate as the Opposition was not participating.

Pal requested Opposition members to vacate the well of the House, but slogans continued. Pal then adjourned the House for the day.

Hold mass outreach camps for doorstep delivery of tribal welfare schemes: Govt

Nikhil Ghanekar & Harikishan Sharma
New Delhi, August 5

IN A bid to ensure the doorstep delivery of the Centre's tribal welfare schemes, the Ministry of Tribal Affairs (MoTA) has urged all states to conduct public outreach camps in the run-up to Independence Day (August 15).

The MoTA Secretary, it is learnt, has written to all chief secretaries of states directing them to organise 'Jan Sunwai' (public grievance and entitlement camp) at Adi Sewa Kendras between August 13 and 15.

The mass outreach has been proposed through the Adi Karmayogi Abhiyan, which was formally launched by Prime Minister Narendra Modi in September last year to build up a volunteer-led grassroots tribal leadership of about 2 million people across 1 lakh villages.

As part of the initiative, tribal-dominated villages were encouraged to establish an Adi Sewa Kendra, where local issues could be addressed and resolved, and development roadmaps charted. It is at these Kendras the public outreach camps are slated to be held.

According to government data, 38,509 Kendras have already been established in the country. A further 41,454 remain at the proposal stage.

The Centre has asked district collectors to lead the public outreach, and sought inclusion of the tribal development agency, the local administration, and frontline officers from key departments such as health, education, rural affairs, forest, among others.

These gatherings have also been utilised by the Centre to widen coverage of two other flagship programmes concerning the welfare of tribal communities, namely the Dharti Aaba Janjatiya Gram Utkarsh Abhiyan (DAJGUA) and the Janjati Adivasi Nyaya Maha Abhiyan (PM-JANMAN).

The PM-JANMAN vision is aimed to improve the socio-economic status of particularly vulnerable tribal groups by bridging gaps in health, education, livelihoods, whereas DAJGUA aims for the holistic development of tribal villages.

The upcoming Jan Sunwai outreach initiative will not be the first. Two such events were held earlier — in November 2025 and May 2026.

Gold rings and coins, laptops: Big spending in Vijay's debut Budget

Arun Janardhanan
Chennai, August 5

TAMIL NADU'S new government has chosen direct welfare and human-capital spending for its first Budget, even as it acknowledges a debt burden of nearly Rs 11 lakh crore and a weakening link between economic growth and State revenues.

Presenting the TVK government's maiden Budget on Wednesday, Finance Minister N Marie Wilson argued that tighter administration, technology-driven governance and better revenue collection would eventually create the fiscal space needed to sustain an ambitious expansion of welfare, education and healthcare, while rolling out a series of politically resonant schemes centred on Chief Minister C Joseph Vijay's campaign promises.

The Budget's most visible announcements reflected that political choice.

Eligible brides will receive an eight-gram gold coin and a silk saree under the new Annan Seer Thittam, backed by an allocation of Rs 812 crore. Every child born in a government hospital will receive a one-gram gold ring under the Thai Maaman Thanga Mothiram Thittam, with Rs 560 crore set aside for the programme.

The government also expanded the breakfast scheme to middle-school students, allocated Rs 2,000 crore for the Vetri Laptop Scheme, announced modernisation of over 3,700 government schools, introduced a school sanitation programme, promised residential schools for disadvantaged students, and expanded social welfare programmes covering senior citizens, transgender persons and women.

The Budget referred to the White Paper's finding that Tamil Nadu's debt had doubled over five years to about Rs 10 lakh crore. Separately, the revised Budget estimates place outstanding debt at nearly Rs 10.99 lakh crore. It said declining tax effort, rising committed expenditure and increasing interest payments had steadily reduced the government's ability to finance new programmes.

Wilson said the government had ended restrictive tender practices, widened competition in public procurement, delegated planning approvals to reduce discretion, introduced faceless GST assessment and registration systems, digitised mining surveillance and imposed an additional privilege fee on liquor manufacturers.

Tamil Nadu Chief Minister C Joseph Vijay and state Finance Minister N Marie Wilson ahead of Budget proceedings on Wednesday. ANI

Together, these measures, he said, could generate around Rs 16,000 crore in additional revenue, including up to Rs 1,000 crore annually from liquor levy and approximately Rs 15,000 crore from technology-led improvements in tax, registration and mining administration.

That fiscal argument closely mirrors the broader approach the government has articulated since taking office. Rather than portraying the state's financial challenge as one requiring immediate expenditure cuts, the government argues that administrative inefficiency, leakages and weak revenue mobilisation have prevented the State's finances from keeping pace with one of India's fastest-growing economies.

To reinforce that strategy, Wilson highlighted the recently constituted Revenue Augmentation Committee headed by former Planning Commission Deputy Chairman Montek Singh Ahluwalia, describing it as central to strengthening Tamil Nadu's fiscal autonomy and identifying sustainable sources of tax and non-tax revenue.

The budget therefore represents a calculated political wager. Instead of postponing welfare until public finances improve, the government has chosen to begin with visible social programmes while betting that governance reforms will generate sufficient fiscal room over time.

Many of the flagship announcements also combine welfare with longer-term human-capital investment.

School education received Rs 44,527 crore, with curriculum reforms, expanded AI education, campus sanitation and school infrastructure. Healthcare allocations included maternity support centres, mobile geriatric treatment units, expanded telemedicine, cancer-care hubs and higher allocations for essential medicines.

Misri meets Lanka President, bilateral projects in focus

Shubhajit Roy
New Delhi, August 5

INDIA AND Sri Lanka have agreed to take forward the negotiations on updating the Free Trade Agreement and will sign the Social Security pact soon, as Foreign Secretary Vikram Misri met Sri Lankan President Anura Kumara Dissanayake in Colombo on Wednesday.

The discussions between Misri and Dissanayake focused on issues of "mutual interest and review of key bilateral projects, including assisted development projects in Sri Lanka".

Following the meeting, both sides exchanged agreements on INR-denominated Lines of Credit for USD 350 million, which form part of the USD 450 million reconstruction package extended by India in the wake of Cyclone Ditwah. The LoCs will support reconstruction, infrastructure development, and procurement requirements that arose in the aftermath of the cyclone, the Indian High Commission in Sri Lanka said.

The Foreign Secretary also "called upon the Sri Lankan leadership to implement their commitment to hold Provincial Council elections at the earliest and to fully implement the Constitutional provisions of Sri Lanka to meet the aspirations of the Tamil people", MEA said.

"He welcomed President Disanayaka's assurances as contained in the Joint Statement of December 2024 that Sri Lankan territory shall not be permitted to be used in any manner inimical to the security of India and conveyed that this provides a strong foundation to build a comprehensive and mutually beneficial development," the MEA said.

"There was also discussion on strengthening our partnership on economic matters. Both sides welcomed the initial discussions in June this year and the decision to take forward negotiations on updating the Free Trade Agreement between India and Sri Lanka. They also welcomed the successful conclusion of negotiations on India-Sri Lanka Social Security Agreement. The Agreement is expected to be signed soon following completion of necessary internal procedures," it said.

Foreign Secretary Vikram Misri with Sri Lanka President Anura Kumara Dissanayake in Colombo on Wednesday. ANI

Misri, who arrived in Colombo for a day-long visit, held a meeting with Foreign Minister Vijitha Herath during which they reviewed ongoing cooperation in key priority areas. This was his first stand-alone visit to Sri Lanka as Foreign Secretary. He also met Prime Minister of Sri Lanka, Harini Amarasuriya and Leader of Opposition Sajith Premadasa and had separate meetings with leaders of Sri Lankan Tamil and Indian Origin Tamil community.

According to the MEA, both nations expressed satisfaction at the progress registered in the implementation of various projects, including under the reconstruction package of USD 450 million, announced following cyclone Ditwah. In particular, they welcomed the conclusion of agreements on two INR-denominated Lines of Credit of USD 250 million for the railway projects and of USD 100 million for livestock and other priority requirements respectively.

"Both sides also noted that reconstruction of damaged houses and construction of permanent bridges under the Ditwah Reconstruction Package and covered under a grant of USD 100 million will commence shortly... Both sides are also working towards earliest possible implementation of an Island wide disaster warning system for Sri Lanka... the work on rehabilitation of Northern Railway corridor under a grant of USD 5 million has been completed and train services have resumed," MEA said. It said that the two sides also discussed modalities for "expediting implementation of energy projects, including electricity grid interconnection project, Sampur solar power project and development of Trincomalee as an energy hub".

They also agreed to work towards the earliest possible conclusion of the tender process for implementation of the Sri Lanka Unique Digital Identity project.

"They directed that discussions be initiated at the earliest to conclude an MoU on rehabilitation and modernisation of Kankesanthurai harbour project, to be implemented under a grant of USD 61.5 million. Recalling the commitment made during the visit of PM of India to Sri Lanka in April 2025, the two sides agreed that the MoU to implement the proposed expansion of the 1990 Suwa Seriya Ambulance service should be concluded at an early date. They also noted with satisfaction that the initiative on capacity building announced during the visit of the Prime Minister last year has also been implemented successfully...," it said.

AGITATION MAY INTENSIFY TODAY AS DOCTORS THREATEN TO SUSPEND EVEN EMERGENCY SERVICES

Resident doctors' protest impacts OPDs, surgeries across Maharashtra

Purnima Sah
Mumbai, August 5

Doctors at Mumbai's JJ Hospital protest after suspending regular OPD services on Wednesday. AKASH PATIL

PATIENTS WAITED for hours in overcrowded OPDs, several elective surgeries were postponed and teaching came to a standstill in government and civic-run medical colleges and hospitals across Maharashtra on Wednesday as resident doctors launched an indefinite strike against the Maharashtra Medical Council's (MMC) decision to grant conditional registration to BHMS graduates who have completed the Certificate Course in Modern Pharmacology (CCMP).

The agitation is set to intensify on Thursday, with doctors threatening to suspend even emergency services if the impasse continues, even as Medical Education Minister Hasan Mushrif said the government had halted the registration process after granting only one conditional registration on Tuesday night to defuse the situation and would not proceed with further registrations until there was clarity from the Bombay High Court.

According to Central MARD, around 40,000 resident doctors and interns across Maharashtra, including 4,500 in Mumbai, participated in the first day of the strike. The association claimed the protest affected nearly 57,400 OPD consultations across the state, including around 10,000 in Mumbai's government and civic hospitals.

The strike affected 35 government and five municipal medical colleges, with resident doctors boycotting OPDs, elective surgeries and academic activities. As a result, no teaching sessions were held in medical colleges on Wednesday.

The impact was most visible in medicine and surgery departments, where hospitals struggled to manage patient loads with reduced manpower. Professors, associate professors, assistant professors, bonded assistant professors, senior residents and, in some hospitals, interns were deployed to keep essential services running.

At Nair Hospital, the waiting list of patients at the OPD crossed 140 patients by noon.

Sunil Haryana, a Nerul resident who has been visiting the rheumatology OPD for treatment over the past three years, reached the hospital around 7.30 am but was still waiting to be examined after noon. "Usually the wait is not this long. Our regular doctors were not there today. Had I known about the strike, I would not have come," he said.

Nandini Pal, who has been bringing her mother for arthritis treatment at Nair Hospital for the past seven years, said they reached the hospital at 8 am but were still waiting at noon. "Normally there are five or six doctors in the OPD, but today there were only two. We left home at 7 am and have not even had lunch yet," she said. Her mother suffers from severe joint pain and stiffness due to arthritis.

Patients from Mumbai, Vasai-Virar and neighbouring areas crowded hospital OPDs through the day.

Similar scenes were reported at KEM, Sion, Cooper and JJ hospitals, where OPDs functioned with skeletal staff and several elective surgeries were postponed. JJ Hospital Dean Dr Ajay Bhandarwar said the hospital had managed to keep critical services operational despite the strike. "The main operation theatre, gastrointestinal endoscopy services and the 24-hour emergency operation theatre remained functional despite the strike."

The agitation follows the MMC's decision to begin granting conditional registrations to BHMS practitioners who have completed the CCMP course, allowing them to practise modern scientific medicine within limits prescribed by government notifications and subject to the outcome of pending litigation before the Bombay High Court.

MULTIPLE FAILURES AND MAJOR DEFICIENCIES REPORTED WITHIN 13 DAYS OF OPENING

NHAI suspends toll on Rs 4,200-crore Kanpur-Lucknow e-way

Dheeraj Mishra & Bhupendra Pandey
New Delhi, Lucknow, Aug 5

FOLLOWING MULTIPLE failures and major deficiencies reported on the 63-km Kanpur-Lucknow Expressway within 13 days of its opening, the National Highways Authority of India (NHAI) has suspended toll collection until the issues are fully rectified. The authority has also initiated action against the contractor, consultant and concerned officials.

NHAI has issued a notice to declare the concessionaire or contractor, PNC Infratech Ltd, a non-performer, which would make the company ineligible to participate in bidding for future NHAI projects. Along with this, a show-cause notice has been issued to levy a penalty of 2% of the performance security and initiate debarment proceedings for up to three years against the head of highways and other responsible staff.

To conduct a technical investigation into the incident, it said an expert committee from IIT Kharagpur has been constituted.

A senior NHAI official said the rectification would cost around Rs 3 crore and that the contractor would have to bear the cost without any financial implication for NHAI. The official added that the loss of toll revenue would be recovered from the contractor.

On July 26, a slippage spanning about 300 metres was observed near the 64-km mark in Unnao's Korari area on the expressway, after its inauguration on July 13. The issue went viral on social media, with several highway users questioning NHAI and the contractor over the quality of the Rs 4,200-crore expressway. Traffic has currently been diverted at the affected stretch.

The six-lane access-controlled expressway is expected to cut travel time between Lucknow and Kanpur from around 90 minutes to just 35-40 minutes. SPECIAL ARRANGEMENT PHOTO

Apart from taking action against the contractor, NHAI has removed the project manager of the construction agency, the team leader of the independent engineer and the resident engineer from the project. They have also been debarred from participating in any highway projects for the next two years. Theme Engineering Services Pvt Ltd, the independent engineer for the project, has also been issued a debarment notice.

The official said that a chargesheet is being issued against former NHAI project director Saurabh Chaurasia, during whose tenure a substantial portion of the construction took place, and the present project director Nakul Prakash Verma for alleged negligence in the project. Verma has been repatriated to his parent department.

Gautam Vishal Charan Pahari, Regional Officer and Chief General Manager of NHAI, said, "Road surface slippage was detected near Km 64 on the Kanpur-Lucknow Expressway on July 26. Restoration work was initiated immediately after the incident was reported, and directions were issued for a comprehensive technical assessment of the affected location. Traffic has been diverted at the affected stretch, and the expressway continues to operate smoothly."

The ambitious six-lane expressway is expected to reduce travel time between Uttar Pradesh's capital Lucknow and its industrial hub Kanpur from around 90 minutes to about 40 minutes. It has been positioned as a game changer for residents of the region.

Videos of the damaged section of the expressway also triggered criticism from opposition parties, which alleged that the BJP government was compromising construction quality in one of its flagship highway projects. Samajwadi Party chief Akhilesh Yadav, sharing a video on social media, posted: "Running less, sinking more: Lucknow-Kanpur Expressway! Cost: Rs 4,700 crore!"

RBI must keep steady hand amid uncertainty

IN LINE with expectations, the RBI's monetary policy committee voted unanimously in its August meeting to keep interest rates unchanged. The repo rate stands at 5.25 per cent. Alongside, the committee chose to stay with its neutral stance. The rationale is straightforward. The uptick in inflation in recent months — CPI had risen to 4.38 per cent in June, from 3.93 per cent in May — is driven largely by food and fuel prices. Core inflation, excluding precious metals, remains subdued at around 2.3-2.5 per cent. This suggests that price pressures are not broad-based in the economy.

The central bank also believes that inflation will peak in the October-December quarter of this year and then trend lower -- CPI is projected to fall from 5.9 per cent in the third quarter to 5.5 per cent in the fourth quarter and then to 5.3 per cent in the first quarter of the next financial year. However, there is considerable uncertainty over the monsoon and El Nino. This could have implications for both kharif as well as rabi crops. Oil prices also remain volatile — India's crude oil basket is currently around $85.19 per barrel. "Global oil prices have remained volatile with sharp two-way movements triggered by geopolitical developments, blurring the near-term outlook", the MPC noted. Growth, though, appears to be holding up, with high-frequency indicators suggesting that the momentum is healthy. The RBI has noted that in the first quarter the economy performed better than expected. Private consumption is "robust" and investment remains "resilient". The central bank has also marginally upped its growth forecast to 6.7 per cent for the year. This is in line with assessments of most economists.

Globally, central banks are being cautious. Last week both the US Federal Reserve and the Bank of England chose to keep interest rates unchanged even as inflation remains elevated. Earlier, the European Central Bank had also held rates steady, even as other central banks like the Bank of Korea and Japan raised interest rates. The RBI is likely to persist with its wait and watch approach. Generalised inflation pressures remain "modest". However, as it also notes, "the risks of second-round impact of higher food, fuel and other input prices translating to broad-based inflation persist." Policy action will be contingent on greater clarity emerging over the inflation trajectory.

SC safeguards for live-in partners are overdue

THE SUPREME COURT'S decision to extend the protection against domestic cruelty to women in live-in relationships that are "in the nature of marriage" is a welcome attempt to bring criminal law in step with evolving social realities. By holding that Section 498A of the erstwhile Indian Penal Code — and its equivalent, Section 85 of the Bharatiya Nyaya Sanhita — can apply where the relationship is founded on a genuine intent to marry, the SC has adopted an expansive reading of the law. It acknowledges that domestic abuse derives its force from unequal power and coercion, that it does not become less devastating because a relationship lacks formal solemnisation. While women in live-in relationships already have recourse to civil remedies under the Protection of Women from Domestic Violence Act, 2005, the judgment makes clear that the absence of a formally solemnised marriage cannot, by itself, deny them the protection of criminal law. In doing so, the Court reinforces the principle that legal protection must respond to the substance of intimate relationships rather than their form.

Violence in intimate relationships remains one of India's most pervasive yet under-reported crimes. The recent NFHS found that over 22 per cent of ever-married women have experienced physical, sexual or emotional violence at the hands of their partners. Yet, financial and social compulsions mean that only a small minority seeks redressal. Women in live-in relationships often face additional legal, procedural and social burdens. In the present case, for instance, the accused sought to quash criminal proceedings initiated by his partner, arguing that because he was already married, their relationship could not amount to a valid marriage and therefore could not attract the offence of cruelty.

In cases such as *D Velusamy v D Patchaiammal* (2010) and *Indra Sarma v VKV Sarma* (2013), the SC had laid out the factors, including whether the couple has lived together for a considerable period, and whether the relationship possesses the requisite permanence and commitment, to be considered in case of live-in relationships in the nature of marriage. By adding further guardrails — the judgment has mandated the safeguards in *Arnesh Kumar vs Bihar* to be followed in such cases — the Court has struck a careful and necessary balance.

Are India-US trade talks an exercise in futility?

MANOJ PANT

DEAR EDITOR
I disagree

Fortnightly column in which we invite readers to tell us why, when they differ with the editorial positions or news coverage of 'The Indian Express'

Far better to concentrate on other trade agreements like with the UK, EU and other countries. Trade policy must now focus on diversifying commodity trade away from the US

AN EDITORIAL ('Ahead of the big deal, strike a careful balance', IE, July 17) in this newspaper has argued that a deal with the US "will go a long way in reducing uncertainty… while expanding trade." But trade negotiations appear to be an exercise in futility. At one stage, Donald Trump insisted that India acknowledge a decisive US role in ending the Indo-Pak conflict, reportedly because such recognition would bolster his Nobel Peace Prize aspirations. A 50 per cent tariff was briefly imposed before being withdrawn, but not before employment-intensive sectors such as textiles and sports goods suffered heavy losses in the US market in 2025-26. More recently, Trump announced tariffs of 100 per cent on India's pharmaceutical exports from 2028, rising to 200 per cent the following year unless production shifts to the US. Such a move is unlikely to succeed because affordable Indian generics underpin healthcare for millions of American consumers.

If tariffs are so unilateral, what remains to be negotiated?

Look at Canada. Under Section 338 of the US Tariff Act of 1930, Trump has announced 50 per cent tariffs on some Canadian imports. While this may impact only about $20 billion of imports, there's no knowing what he will announce next. In a recent press conference, he felt tariffs were a cost Canada should pay for the smoke from the recent wildfire in Central Canada, which sent the AQI soaring in some central US cities for a few days. This is in addition to the 12.5 per cent tariffs for "unfair trade practices" like use of forced labour and the already existing 25 per cent tariff under Section 232. Then what is the relevance of the USMCA that Trump himself re-negotiated? Under the three laws and their sections (301, 232 and 338), all US imports are now covered. The Trump strategy on tariffs has changed, but the main message is the same: Tariffs will be a revenue-raising device with the long-term objective of encouraging manufacturing to shift to the US. Irrespective of what Congress feels, these three allow Trump to arbitrarily impose duties irrespective of any trade negotiation signed. Canada and the USMCA are a case in point. Only domestic inflation affects Trump's trade policy, not any agreement.

There is not much for India to do but go ahead with the pretence that the negotiation is based on each country's "comparative advantage". For Trump, this has no meaning. Recently the US said that India's UPI system, backed by the government, constitutes an " unfair advantage" to other payment systems. Who knows when this brings a 25 per cent tariff (like the Pix payment system did for Brazil). A negotiated agreement will mean nothing. Like Canada, India will have to bring in legislation (like in the case of forced labour) to show "sincerity of purpose". But there is no knowing when this stops, as other red flags like imports of Russian oil will spring up. Indian negotiators should proceed in good faith but expect little from a long-term point of view. Far better to concentrate on other trade agreements like with the UK, EU and other countries. Trade policy must focus on diversifying commodity trade away from the US. China has done so. India remains in the saddle as far as trade in services is concerned. Fortunately, this is not yet affected by Trump's "trade policy".

The writer is visiting professor, Shiv Nadar University

VINAY SAHASRABUDDHE

Look closely at source and purpose of foreign funding

THOMAS FRIEDMAN once said that "the world is flat". Globalisation has indeed created a level playing field for trade and industry. However, when forces try to make the world socially and culturally flat, it amounts to making it less beautiful. The globalisation of philanthropy illustrates this danger.

As Parliament prepares to debate amendments to the Foreign Contribution (Regulation) Act (FCRA), many civil society groups have criticised the proposed changes and levelled serious allegations against the government. But India's experience with foreign-funded activism, along with examples from other countries, offers enough reason to revisit the regulatory framework.

Over time, genuine voluntarism has given way to professionalised activism. Organisations once known for commitment, sacrifice and grassroots engagement increasingly adopted the NGO model, with access to large donor funding reshaping priorities. Some evolved into influential actors that sought to shape public policy, at times reflecting donor agendas more than local needs. The rapid expansion of foreign funding encouraged this shift.

The experience of other countries is instructive. In 1997, scholar James Petras, writing on Latin America, argued that foreign-funded NGOs had become adept at designing donor-driven projects while promoting the rhetoric of identity and globalism. He said that this fostered dependence on external funding, aligned organisations with neoliberal priorities, and weakened genuinely autonomous grassroots movements.

Researchers in Africa have also pointed out that aid flows have created a vicious cycle of dependency that is proving hard to dismantle. There is also research in India showing that foreign aid does not have a significant impact on poverty alleviation. This is not to point fingers at every funder. There is no need to ban foreign funding. Tighter scrutiny is essential in the interest of the community, donors as well as recipients. Seen this way, the FCRA amendments are aimed at increasing the framework's transparency and making it risk-ready. They seek to bring administrative clarity, improve monitoring of the use of foreign contribution, enable the identification of inactive associations, fix accountability and ensure that foreign contribution is used only for the purpose it was provided.

India's experience with foreign-funded activism, along with examples from other countries, offers enough reason to revisit the regulatory framework

These amendments will ensure that foreign money does not shape domestic political, social or ideological outcomes in ways that compromise national security and sovereignty. A Supreme Court judgment, in fact, upholds the State's invocation of sovereignty and national security to regulate foreign contribution. The relevant question is not the cost of compliance to an individual organisation but the source and purpose of foreign funding of activity within India. Besides, the regulatory framework proposed is as per international norms — sovereign states maintain comparable, and frequently stricter, controls over foreign funding of domestic non-governmental activity.

The proposed FCRA amendments are both faith-neutral and sector-neutral. They make no distinction between religious and secular organisations or among different faiths. While some groups have opposed the changes, most voluntary organisations — including hospitals, universities, research institutions and service bodies — have not objected. For organisations that use foreign funds transparently and for declared purposes, greater accountability poses no threat. Had the amendments genuinely endangered the voluntary sector, resistance would have been far broader. Beyond FCRA, the government should also address the excessive professionalisation of the sector. It needs to revive India's tradition of autonomous, community-driven voluntarism rooted in civilisational values.

The writer is president, The Asiatic Society of Mumbai and NEC member of the BJP

ROUHIN DEB AND ROOPLEKHA DUTTA

RBI has a playbook for a stronger rupee

THE EXCHANGE rate has been the most discussed macroeconomic variable in India amid the current global crisis. The lopsided dependence on crude (a key input) is the predominant cause for the rupee depreciating vis-à-vis the dollar. However, the recent steps by the RBI and the finance ministry to liberalise foreign investment and fortify the rupee seem to strike the right balance to ensure a more stable currency.

The RBI has temporarily relaxed interest rate restrictions on fresh Foreign Currency Non-Resident (Bank) [FCNR(B)] and Non-Resident External (NRE) deposits until September. This could attract up to $10 billion in additional inflows by enabling banks to mobilise foreign currency and rupee deposits from overseas investors. It complements a series of RBI measures to attract overseas capital and strengthen India's external finances. By allowing banks to offer more competitive returns, alongside a concessional forex swap facility for these deposits and External Commercial Borrowings (ECBs), the RBI is leveraging global interest-rate differentials to mobilise nearly $20 billion in dollar funding. For foreign investors and the diaspora, this presents an immediate arbitrage opportunity. For India, reports suggest that these measures could attract $60-70 billion in foreign capital. The decision to double the individual investment limit for Persons Resident Outside India (PROIs) in equities from 5 per cent to 10 per cent and to increase the collective investment limit from 10 per cent to 24 per cent reduces compliance friction, drawing stable foreign capital directly into the corporate sector.

Another significant reform is the structural overhaul of the government securities (G-Sec) market. By exempting foreign institutional investors (FIIs) from income tax on interest and capital gains from G-Secs, effective April 1, the government has removed a longstanding withholding tax that discouraged overseas participation while helping reduce borrowing costs. With commercial banks, insurers and the RBI holding nearly 75 per cent of outstanding government securities, India's bond market has long lacked global depth. Eliminating this tax friction makes Indian sovereign debt more competitive with US Treasuries and Japanese government bonds, placing it on a stronger global footing. The reform strengthens India's case for inclusion in major global bond indices, ensuring sustained institutional inflows. Extending similar tax parity to the Bank for International Settlements further enhances India's credibility with central banks and sovereign wealth funds.

The RBI has temporarily relaxed interest rate restrictions on fresh Foreign Currency Non-Resident (Bank) [FCNR(B)] and Non-Resident External (NRE) deposits until September

India is witnessing a surge in domestic investment, with private sector capital expenditure rising 67 per cent year-on-year in September 2025 and commercial credit expanding by 15 per cent. Sustaining this momentum without crowding out private investment requires a deep and liquid sovereign debt market. A broader global investor base improves price discovery, enhances competition and lowers the government's borrowing costs by compressing term premia. Lower sovereign yields also establish more efficient benchmark rates, reducing the cost of corporate borrowing. Together, these reforms strengthen the rupee's medium-term prospects by attracting stable foreign capital and reinforcing India's long-term growth and macroeconomic stability.

Deb is chief economist, Chief Minister's Secretariat, Government of Assam. Dutta is Mukherjee Fellow, Policy Politics and Governance Foundation

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• LEGAL

How SC's gender guide differs from the 2023 version

Vineet Bhalla
New Delhi, August 5

TRIAL COURT judges must actively prevent the secondary traumatisation of sexual assault survivors, control aggressive cross-examinations and develop an "Emotional Quotient" to handle cases involving crimes against women. These are among the key recommendations laid out in a new Supreme Court report published Monday, aimed at bringing gender sensitivity to the Indian judiciary.

The report, 'Judgments and Gender: Sensitivity and compassion in writing judgments', has been drafted by an expert panel headed by retired Supreme Court judge Justice Aniruddha Bose. This marks a shift from a 2023 handbook the top court had published, which focused on helping judges identify and avoid patriarchal language.

'Compassionate court practices'

The new report addresses the trauma that a victim faces in the criminal justice system. It notes that judges require an "Emotional Quotient" to supplement their "Intelligence Quotient" when discharging judicial functions.

The report highlights how survivors are routinely met with insensitive remarks from police and authorities. Such remarks, it notes, traumatise them and deter them from seeking justice.

To combat this, the report recommends "compassionate court practices". It urges judges to use the Bharatiya Sakshya Adhiniyam's provisions that bar defence lawyers from asking indecent or annoying questions. This is particularly relevant to questions about a survivor's sexual history, which the report reiterates is immaterial to a rape trial.

WHAT TO AVOID

• Instead of writing that a crime 'destroys the very soul of a helpless woman', judges are advised to write that the crime 'caused severe trauma to the survivor'.

• The report asks judges to refrain from using religious or cultural references, and focus strictly on legal rights.

The report advocates treating witnesses as "guests" invited to help the court, rather than going through "long waits and poor treatment in court". It also recommends pre-trial counselling for victims to alleviate anxiety and that trials for sexual offences be held in private, closed-door proceedings to protect the survivor's privacy.

Shift in language

Both the new report and the 2023 handbook contain glossaries of terms to avoid, but their focus areas are different. While the 2023 handbook, issued under then Chief Justice of India (CJI) D Y Chandrachud, was designed to replace colloquial or archaic words with neutral legal terms, the 2026 report targets the moralistic terms recurring in trial court judgments. After analysing 125 trial court verdicts, the Justice Bose-led committee curated a list of problematic phrases to avoid.

Why a new report

The arc of the new report can be traced back to a March 2025 judgment of the Allahabad High Court, in which the court ruled that acts such as grabbing a woman's breasts and loosening her pyjama string constituted only a "preparation" to commit rape, rather than an "attempt" to rape. The Supreme Court took suo motu cognisance, setting it aside in February 2026. During the hearings, CJI Surya Kant scrutinised the 2023 handbook's utility, calling it "too Harvard-oriented": suggesting it was too elite or theoretical for the Indian context. The court had directed the National Judicial Academy, where Justice Bose serves as director, to form a committee of domain experts to frame practical training guidelines.

• TECH

Cut, copy: Why books are being destroyed to feed AI

AI companies have long relied on online content. Now, to avoid copyright and get high-quality training data, they may be turning to books — and tearing them up

ANAGHA JAYAKUMAR

IN RECENT weeks, booksellers in Australia and Europe have raised concerns about unusual, bulk purchases of books amid reports that artificial intelligence (AI) companies are acquiring physical copies to train their datasets.

It is the manner of such training, however, that has caused alarm: unsealed documents in a copyright lawsuit against Anthropic revealed that the company was resorting to "destructive scanning", a process in which books are destroyed after their contents are scanned.

The Guardian reported recently that Australian booksellers had received requests for books ranging from rare and obscure titles to cheap paperbacks through intermediaries. *Fortune* reported a similar incident involving a Dutch bookseller.

In many cases, intermediaries source books in bulk from sellers before sending them for digitisation, making it difficult for sellers to know who the eventual buyer is.

The reports build on earlier findings about Anthropic's Project Panama. In January, *The Washington Post* reported that the company had bought millions of physical books, removed their bindings and scanned them to build a massive collection of high-quality training data for its models.

The new reports suggest that a practice once visible mainly through court filings and investigative reporting is now becoming visible further up the supply chain, with booksellers noticing unusual demand.

Why books?

The terms AI and generative AI usually refer to a subset of artificial intelligence called large language models (LLMs). LLMs learn statistical patterns from enormous volumes of content and generate output based on the quality of data fed into them.

While the AI competition in recent times has largely centred on the race for computing power through chips, the push for physical books reflects a growing demand for another critical resource: high-quality training data.

For years, frontier AI companies have relied heavily on text scraped from the public internet. But as AI-generated content has proliferated online and copyright disputes have made large-scale web scraping increasingly contentious, companies have begun looking elsewhere for reliable, human-written material. Books offer long-form, edited text across a wide range of subjects, much of which is either unavailable or difficult to obtain in digital form.

ISBNdb, which markets book-sourcing services to AI companies, has argued that books published before the AI boom are particularly valuable because they are free of AI-generated content. As AI-generated text proliferates online, older books are increasingly seen as a source of cleaner training data.

Jannis Lennartz, Visiting Professor at Humboldt-Universität zu Berlin, argues in an essay titled *AI Is Eating the Book World* that the current debate over book digitisation began with Google Books, Google's effort to digitise millions of library books in the 2000s. The project sparked years of litigation over copyright and mass digitisation.

Lennartz argues that the current digitisation efforts by AI companies resemble Google Books in technique but differ in purpose. Instead of making books searchable or accessible online, the goal is to convert them into machine-readable training data for AI systems.

Destructive scanning

Many books are unavailable as clean digital files, while publishers often control access to commercial ebooks. Physical copies therefore remain one of the simplest ways to obtain large volumes of text for digitisation.

The present controversy extends beyond the acquisition of books to what happens to them during digitisation. Once acquired, the books must be converted into machine-readable text before they can be used for training. Many AI companies have turned to destructive book scanning, a process that permanently disassembles physical books for their high-speed digitisation. In the process, they cut the spines of books and feed the loose sheets to the automated document scanners, choosing to recycle or shred the remaining pages. The scanned images are then converted into text using optical character recognition, allowing AI models to ingest them during training.

Destructive scanning has long been used in some mass-digitisation projects because it is faster and produces flat, high-quality images for optical character recognition. However, preservation projects often favour non-destructive scanning to avoid damaging physical books.

The Internet Archive, a digital library best known for preserving web pages and digitising books, has long maintained that it uses non-destructive digitisation, photographing books without dismantling them to preserve the original copy.

In an email reply to *The Indian Express*, Chris Freeland, Director of Library Services at Internet Archive, said the organisation's 2021 explanation of its scanning process "continues to be the best description of its digitisation process today".

In that post, the Internet Archive said its testing of commercial book scanners, which feature a vacuum-powered page-turning arm, threatened the integrity of brittle books, rare volumes and other special collections that its library partners wanted digitised.

The legal questions

The acquisition and digitisation of physical books for AI training also raises a fresh set of copyright questions, even if the books themselves were lawfully purchased.

Arul George Scaria, professor at the National Law School of India University, argues that buying physical books and digitising them for AI training represents a middle ground between negotiating licences with publishers and relying on shadow libraries. "Buying physical copies and getting them digitised for training appears to be the middle path taken by many AI developers now, as many presume that this is fairer to the authors and publishers," he told *The Indian Express*.

The legal position under Indian copyright law remains unsettled. "Whether this is permissible under copyright law may depend on different factors including the question of whether digitisation is done solely for the purpose of AI training or whether the firms had stored it for other purposes also," Scaria said. "If it is done solely for the purpose of training, it should fall under the fair dealing exception under the copyright law," he added, citing the recent *OpenAI vs ANI* decision.

The fair dealing exception, outlined in Section 52 of the Copyright Act of 1957, is a copyright provision allowing the limited use of protected material without the owner's permission for specific purposes such as private study, research, criticism, review, and news reporting.

Scaria made the case for training uses, saying that as non-expressive uses, which are not prohibited under copyright law, they could help advance research and innovation. "Any copyright-related anxieties that copyright owners have could be addressed by making AI developers liable when there is substantial similarities in outputs. This may force AI developers to opt for licence agreements with copyright holders," he said.

Scaria, however, argued that copyright law alone may not resolve the concerns of authors and publishers. "Many copyright holders have anxieties and concerns about the use of their works," he said, adding that "we should also explore solutions outside copyright law", including mandatory labelling of AI-generated content and funds to support authors and artists affected by large-scale AI adoption.

• UNDER THE SCANNER: THE TWO WAYS TO DIGITISE BOOKS

Non-destructive scanning

• Digitises a book without physically altering it, using a V-cradle (see pic) to protect spine.
• An overhead scanner photographs each page while the book remains fully intact.
• Ideal for rare or valuable books that must be preserved.

Destructive scanning

• Digitises a book by cutting off the spine and separating the pages.
• Loose sheets are scanned rapidly using automated scanners, producing high-quality images.
• The process is irreversible, making it suitable only for replaceable books that do not need physical preservation.

INTERNET ARCHIVE DIGITIZATION SERVICES

The 'Scribe' scanner used by Internet Archive. The non-profit digital library says it uses non-destructive digitisation.

What Indian copyright law says

The legal position under Indian copyright law remains unsettled.

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Section 52 of the Copyright Act, 1957, outlines the fair dealing exception, which allows the limited use of protected material without the owner's permission for specific purposes.

• CLIMATE

Silt in rivers to urbanisation: Behind Kerala's worsening floods

Shaju Philip
Thiruvananthapuram, August 5

AN UNEXPECTED spell of extremely heavy rainfall in early August has triggered flooding in several parts of Kerala, with Kottayam, Pathanamthitta and Alappuzha districts among the worst affected.

Twenty-six people were killed and four others were missing in monsoon-related incidents, while more than 27,000 were sheltering in around 460 relief camps as of Wednesday, said Chief Minister V D Satheesan.

So how have these flash floods so rapidly submerged a chain of urban settlements in the state? The answer lies in a range of mostly human-made factors.

Carrying capacity of rivers

Studies conducted by Kerala's irrigation department have found that sedimentation in rivers and water bodies contributed to the intensity of the crisis. The water-holding capacity of rivers has significantly declined owing to the accumulation of silt and sand over the last decade.

The 2018 floods, which had deposited huge amounts of sediment into the rivers, aggravated the situation. Landslides in hilly and forest areas deposited huge volumes of soil and sand in river beds.

Sediment accumulation has also resulted in formation of deltas, which obstruct the flow of floodwater.

Sedimented reservoirs

The extremely heavy rains have increased the water level in all dams, run by both the state's electricity board and the irrigation department.

A CAG report in 2021 had found a significant fall in storage capacity of dams due to sedimentation. It said the Kallarkutty dam had lost 47% of gross storage in 45 years while the figure for Anayirankal dam was 30.92% in 33 years.

Disappearance of wetlands

Rapid urbanisation, coupled with change in land use patterns, have shrunken the state's paddy fields, marshlands and wetlands, which would have absorbed a huge volume of rainfall.

According to data from the statistics department, Kerala had 7.93 lakh hectares of paddy land in 1979-80. This fell to 2.05 lakh hectares in 2020-21 and 1.80 lakh hectares in 2023-24. The marshland area, which had been 974 hectares in 2005-06, fell to 974 hectares in 2015-16, before going down to a mere 11 hectares in 2019-20. Wetlands, which had covered 5,950 hectares in 2005-06, fell to 2,937 hectares in 2023-24.

A collapsed bank along the swollen Chaliyar river in Malappuram district. PTI

Altered natural hydrology

Kerala's dense network of concrete roads, tarred lanes and paved surfaces across both rural and urban areas has significantly altered the state's natural hydrology. During heavy rains, these impervious surfaces channel stormwater rapidly into nearby rivers and streams, causing water levels to rise within hours. This rapid runoff has become a defining feature of the state's landscape, where tarred roads and concrete pavements extending from the hills and other high-altitude areas effectively function as channels for stormwater.

What the government plans

The state government is planning to desilt rivers and reservoirs to ensure that they have enough room to hold water. Chief Minister Satheesan said on Wednesday: "There is no room for water to flow… To lower the threat of floods, the sedimentation in rivers and dams will be removed urgently. An asset register will be prepared for rivers, streams and lakes and land auditing will be conducted to prevent encroachment of rivers."

Mining of sand from rivers and reservoirs can also act as a source of income. Till a decade back, sand mining in rivers had been widespread but was banned following environmental concerns.

• ECONOMICS

As Vijay govt presents first budget, TN's key challenge: Mounting debt burden

Udit Misra
New Delhi, August 5

TAMIL NADU Finance Minister N Marie Wilson on Wednesday presented the first budget under the new government led by Chief Minister C Joseph Vijay.

The minister committed to push the size of Tamil Nadu's economy to the $1.5-trillion mark by 2036. As of now, the gross state domestic product (GSDP) of the state ranges between $350 billion to $400 billion depending on the exchange rate. In other words, the government aims to more than treble the size of the economy over the next 10 years.

Tamil Nadu, along with states such as Maharashtra, Gujarat and Karnataka, has long been among India's fastest growing states. It is second in terms of overall economic output among all Indian states, with only Maharashtra ahead of it. But while Tamil Nadu's headline economic growth has been fairly robust over the past few years, its financial health has worsened.

The main challenge

In his budget speech, Wilson made it clear that past Tamil Nadu governments have been spending far in excess of what they earned and, as a result, borrowed far more than what they were capable of repaying in a sustainable manner.

The two charts alongside provide a glimpse of the fiscal challenge facing Tamil Nadu. *Chart 1* maps the total debt as a percentage of the GSDP (or the state's annual economic output) for Tamil Nadu and some of the comparable states. While this figure has not really shot up, what is noteworthy is that it is much higher than states with comparably sized economies.

The reason is that Tamil Nadu has borrowed more and more each year just to plug the gap between its expenditure and revenues. The consequence of having high levels of debt is that, over time, the interest burden itself keeps going up, especially if the state doesn't enhance its ability to raise more revenues. This is what *chart 2* captures. The percentage of money that goes towards just paying the interest on past debt has been rising steadily for Tamil Nadu.

The immediate consequence of more money going towards repaying interest is that the government has less left for either welfare (such as providing relief to the poor) or capital expenditure (such as money spent towards making roads and ports, the kind of assets that increase the productive capacity of the state's economy).

The White Paper brought out by the state last month explained how rising interest payments have brought TN's finances to the brink: "The rising interest bill becomes itself a reason to borrow further because the state must finance the interest payment from somewhere, and if revenue receipts are insufficient, additional borrowing fills the gap. This is the debt-interest spiral, and Tamil Nadu is now entering its early stages."

What the budget says

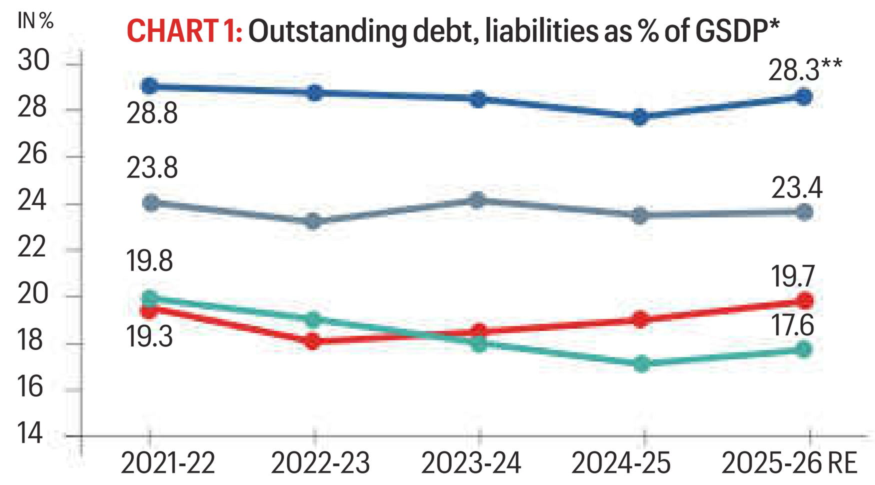
Given the stark challenge facing its finances, the Tamil Nadu government would have to, at the same time, reduce its borrowings by cutting expenditure as well as find ways to increase its revenues.

"…this government has already taken action towards mobilisation of nearly Rs 15,000 crore… and has constituted a high level Revenue Augmentation Committee under the chairmanship of the renowned economist… Montek Singh Ahluwalia," stated the Finance Minister in his speech.

Wilson also promised that the debt-to-GSDP ratio — which was at 28% as of 2025-26 — will be brought down to 26.57% in 2027-28 and 26.10% in 2028-29.

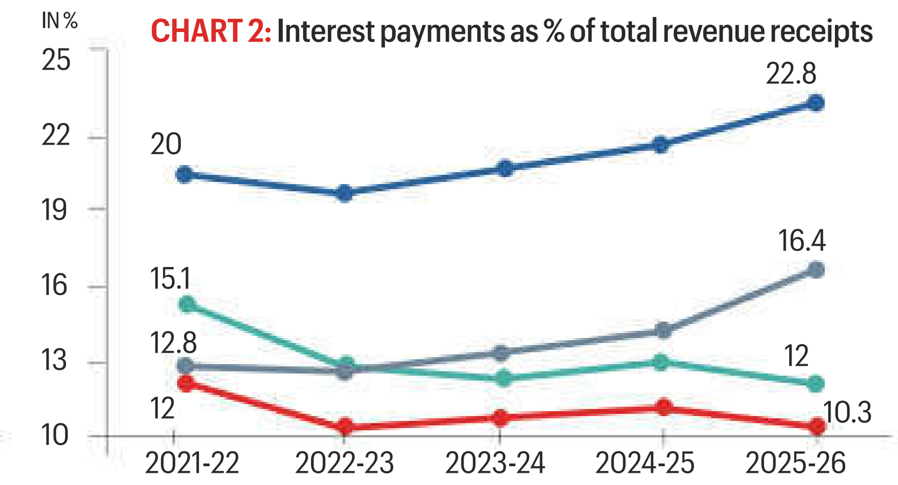
• TN's debt-to-GSDP ratio is higher than peers…

CHART 1: Outstanding debt, liabilities as % of GSDP*



• …and more revenue is going towards interest

CHART 2: Interest payments as % of total revenue receipts



TAMIL NADU — KARNATAKA — MAHARASHTRA — GUJARAT

*GSDP REFERS TO GROSS STATE DOMESTIC PRODUCT; **INITIAL ESTIMATE

MALHOTRA FLAGS RISING ENERGY PRICES & TRADE POLICY UNCERTAINTIES AS UPSIDE RISKS TO CURRENT ACCOUNT DEFICIT

Outlook hazy, need clarity before taking any policy action: RBI Gov

George Mathew
Mumbai, August 5

RESERVE BANK of India (RBI) Governor Sanjay Malhotra on Wednesday signalled that the central bank is in no hurry to alter its policy course as it weighs a more challenging growth-inflation mix.

"The outlook, however, is hazy because of the uncertainties regarding south-west monsoon, El Niño, geopolitics and global trade policy. There is a need for greater clarity to emerge, especially regarding inflation, its path and composition before taking any policy action," he said while unveiling the monetary policy.

"Any such action (on the interest rate front) would also have to consider the need for recalibration of policy rates in line with the evolving growth-inflation dynamics, especially the normalisation of the underlying inflation from its benign levels seen hitherto," Malhotra said. The RBI's policy panel on Wednesday kept the policy repo rate unchanged at 5.25%. The US Federal Reserve also kept the federal fund target range unchanged at 3.50-3.75% on July 29 amid growing concern about inflation.

He said growth, albeit resilient, is expected to be lower in 2026-27. The supply-side pressures caused by the West Asia conflict have eased somewhat since June 2026, leading to withdrawal of temporary measures undertaken by the government and normalisation of key input supplies.

However, the reescalation of the conflict since the first week of July has amplified volatility in energy prices and renewed uncertainty about supply chains, he said.

"The MPC underscored that it will maintain a close vigil and remain resolute in its commitment to align inflation with the target," Malhotra said. The supply-side pressures caused by the West Asia conflict have eased somewhat since June 2026, leading to withdrawal of temporary measures undertaken by the government and normalisation of key input supplies, he said.

However, the reescalation of the conflict since the first week of July has amplified volatility in energy prices and renewed uncertainty about supply chains.

"Amidst persistent global uncertainty, domestic economic activity has exhibited resilience as reflected by the high frequency indicators available for Q1:2026-27," he said.

Malhotra said global oil prices have remained highly volatile with sharp two-way movements triggered by geopolitical developments, blurring the near-term outlook.

Although generalised inflation pressures continue to remain modest so far, the risks of second-round impact of higher food, fuel and other input prices translating to broad-based inflation persist.

After considering all factors, CPI inflation for 2026-27 is projected to be 5.0% with Q2 at 4.7%, Q3 at 5.9%, and Q4 at 5.5%. Inflation for the first quarter of 2027-28 is projected at 5.3% with risks being evenly balanced.

Core inflation is projected at 4.3% for 2026-27. Core inflation excluding precious metals is projected to be lower, though it is likely to align with core inflation from Q4.

Growth projection for FY27 lowered

The RBI lowered its real GDP growth projection for 2026-27 to 6.7% while emphasising that the recent uptick in inflation is largely being driven by food and fuel supply shocks rather than broad-based demand pressures.

Stressing that core inflation remains benign, the governor said the central bank would closely monitor whether these supply-side shocks spill over into underlying inflation before taking any policy action.

"Even though headline inflation is projected to increase, it is primarily on account of supply side pressures caused by food and fuel; it is not getting broad-based; core inflation remains moderate and is expected to decline after peaking in Q3. Growth, albeit resilient, is expected to be lower in 2026-27," Governor Malhotra said.

On the external front, he said, "Going forward, moderation in global trade growth, surge in energy prices and persistent trade policy uncertainties pose upside risks to India's current account deficit in 2026-27." "As for the exchange rate, we will continue with our policy of it being determined by market forces, while curbing excessive volatility, checking speculative behaviour and preventing disorderly movements to ensure that it is not out of sync with fundamentals or disruptive of economic activity," he said.

Even though headline inflation is projected to increase, it is primarily on account of supply side pressures caused by food and fuel, Governor Sanjay Malhotra said. REUTERS

'No proposal to prematurely end FCNR(B) scheme'

Mumbai: RBI Governor Sanjay Malhotra has said that banks are receiving robust inflows under the Foreign Currency Non-Resident (Bank) — FCNR(B) — deposit scheme, and that there was no proposal to discontinue the scheme prematurely.

"We have got robust flows. We don't have a target in mind, but expect healthy flows going forward," Malhotra said.

"There is no proposal under consideration to close the scheme prematurely. As now, the deposits have ticked all boxes. We don't have the geographical split. We had mentioned that we had a very strong external position even before these measures. This further fortifies our external position," he said. ENS

RBI set to launch 'plastic' notes at start of 2027-28

Akash Mandal
Mumbai, August 5

THE RESERVE Bank of India (RBI) plans to launch polymer banknotes at the beginning of next financial year (FY28), and people will initially get hold of lower denomination "plastic" notes, that of Rs 10 and Rs 20.

"Polymer notes have two purposes. One, it enhances the durability. This is relevant especially for the lower denominated notes with higher velocity. These notes have been in circulation for more than 30 years in various countries, and one finds that the life is much more, around 2-4 times the life of the paper currency," Malhotra said at the central bank's post monetary policy press conference.

"The second purpose is to expand our capacity as the needs of the economy increase," he said. The new notes will be checked for durability and adaptability to Indian conditions before the RBI clears it for circulation. "We will test and check on how they perform in the Indian climate, conditions, and other infrastructure that we have put in place," Malhotra said. "We are targeting that circulation, if everything goes to plan, it starts from the beginning of the next financial year," he said.

The project will begin with the lower denomination notes of Rs 10 and Rs 20 which have "higher velocity" to change hands, and thus are prone to more wear and tear.

The RBI's trial of plastic notes will see 100 crore pieces of Rs 10 and Rs 20 notes each being introduced, totalling Rs 3,000 crore. The RBI's subsidiary Bharatiya Reserve Bank Note Mudran Private Limited had last month floated a global tender for 3.4 crore polymer sheets for the same purpose. The tender had deemed the sheets an "immediate requirement" and once field trials were successful, "we intend to go for procurement of larger quantities of substrate across different denominations". This would be the central bank's second attempt at introducing plastic notes, having attempted to procure 100 crore bank notes of Rs 10 each. These were to be tried across cities under various climates like Kochi and Shimla. However, the trial was not successful due to "certain technical infirmities".

The project will start with the lower denomination notes of Rs 10 and Rs 20, that are prone to more wear and tear. REUTERS

Govt, Indian Statistical Institute faculty spar over new Bill, autonomy

Siddharth Upasani
New Delhi, August 5

DAYS AFTER The Indian Statistical Institute Bill, 2026, was introduced in Lok Sabha, the government and faculty members hit out at each other.

While members of the teaching staff said the new bill would lead to the loss of autonomy over academics and governance, government officials accused them of wanting to cling on to power like "local satraps".

Addressing reporters in Delhi, faculty members from Indian Institute of Statistics-Kolkata said on Wednesday that the new bill's proposal to replace the existing 33-member Governing Council to an 11-member Board of Governors, a change in the structure from a society to a body corporate, and the government's expansion plans risked sending the institute into a limbo for the next five years and the Centre exerting complete control over it's future.

Opposition party members including Saugata Roy, John Brittas, Praveen Chakravarty, and Pratima Mondal — also present at the briefing — called for the Bill to be referred to the Standing Committee on Finance, with Roy saying the Bill was a "bureaucratic conspiracy".

Renowned economist Prabhat Patnaik said the Bill was an "insult to PC Mahalanobis", referring to the famed statistician who founded ISI in 1931.

Tabled in Parliament on Monday, almost one year after a draft version was made public for feedback and drew intense criticism, the new Bill would lead to the repeal of the 1959 legislation that governs India's premier statistical institute.

According to government officials who spoke on the condition of anonymity, the new Bill is needed to bring about necessary changes that are currently being blocked or taking too long to be implemented: an increase in the number of students, autonomy for Delhi, Bengaluru, and other centres, greater accountability, and expansion of teaching programmes, among others. "It's not in our interest to kill the institute," said a senior government official. "The new Bill says the Board of Governors can overrule the Academic Council where it needs to. And that's fair."

"They don't want to give up any autonomy because that's what they are comfortable with," the official added, referring to members of ISI faculty.

ISI faculty pointed out that the composition of the proposed Board of Governors — which will replace the Governing Council as the main decision-making body — was also problematic as it excludes the Dean of Academic Affairs.

Declared as an institute of national importance in 1959, the Kolkata-headquartered ISI operates under the administrative jurisdiction of the Ministry of Statistics and Programme Implementation (MoSPI).

It is involved in research, teaching, and application of statistics, natural sciences and social sciences and has contributed heavily to India's official statistics.

FULL REPORT ON WWW.INDIANEXPRESS.COM

BRIEFLY

SIAM withdraws letter flagging E20 fuel quality

New Delhi: Auto industry body Society of Indian Automobile Manufacturers has withdrawn a letter written to the Ministry of Petroleum and Natural Gas that had flagged concerns over contamination of E20 fuel that caused problems with vehicles citing the need for further authentication. SIAM said the "communication in question" was part of routine and ongoing technical deliberations. PTI

India's forex reserves hit 3-month high

Mumbai: India's foreign exchange reserves rose to a near three-month high of $692.9 billion as of July 31, data from the RBI showed on Wednesday. Reserves surged nearly $10.5 billion compared to previous week, in their biggest surge since the week ended January 30. A larger pile of foreign exchange reserves gives the central bank greater capacity to defend rupee, hit by oil price volatility. REUTERS

TRUMP: TALKS MOVING NICELY... STRAIT WILL OPEN VERY SOON

Hormuz deal seeks to give Iran control over inbound ships

US army running low on long-range missiles: Report

Reuters
Dubai, Riyadh, August 5

Shiite worshippers carry a portrait of late Iran leaders Ayatollah Ali Khamenei and Ayatollah Khomeini in Karbala, Iraq, on Tuesday. AP

A PROPOSED deal between Iran and Oman would give Tehran control over ships entering the Gulf through the Strait of Hormuz, a senior Iranian source told *Reuters* Wednesday, in one of the biggest concessions yet to Iran.

Despite the apparent step towards yielding to Iranian demands, the sources pushed back against assertions by US President Donald Trump that a deal reopening the strait was imminent. "The concession has already been made regarding some form of control over Hormuz," the source said.

There were still details to be determined about how "control" would be defined, with Gulf negotiators insisting regional countries supervise inspections of ships, and that any payment of fees be voluntary.

The senior Iranian source said the text of an agreement already on the table envisioned Iran having control of ships heading into the Gulf through the strait, and one of the main sticking points was what role Iran would also have over ships heading in opposite direction.

Iran's Foreign Ministry spokesperson Esmaeil Baghaei described the negotiations between Tehran and Muscat as "professional" and "moving forward". "The two sides had reached a mutual understanding on the geographical parameters of the route under discussion," he said.

He said if third parties did not obstruct the process, a joint statement between the two countries was in the final stages of review and drafting.

US officials have repeatedly insisted that they would never accept any arrangement that lets Iran control access to the world's most important trade route for energy supplies. But Trump and senior officials in his administration have said in recent days that a deal is imminent to end war.

There was no immediate reply from Washington about any proposed agreement.

US commanders advised Trump in July that they were running low on supplies of some munitions. *Reuters* reported Tuesday the US Army had used up nearly all of its long-range precision missiles.

Trump told *Fox News* talks were "moving along nicely" and "an all-day negotiation" had taken place on Tuesday. The Strait of Hormuz "is going to be open very soon", Trump added.

Meanwhile, Baghaei said there was no plan for the foreign minister or the parliament speaker to travel to Qatar or Pakistan during the weekend, adding Tehran continued to stay in contact with the two countries that are "continuing their efforts to reduce tensions".

● HOT AIR IS THINNER THAN COOL AIR, MAKING IT HARDER FOR A PLANE'S WINGS TO ATTAIN LIFT AND FOR JET ENGINES TO GENERATE THE THRUST FOR TAKEOFF

Rising temperatures could keep more flights from taking off on time

Rio Yamat & M K Wildeman
Las Vegas, August 5

AIRLINE PASSENGERS know to expect possible flight delays when weather forecasts call for thunderstorms, heavy snow or strong wind. The omens are less obvious on a hot summer day with clear skies.

Yet extreme heat also disrupts flights and travel plans. On the hottest days, thinner air can make it harder for aircraft to get off the ground safely. Airlines may have to lighten the load by removing passengers or cargo, or carrying less fuel.

The snag is well known at airports in desert climates around the world, from the US Southwest to West Asia.

But even less extreme heat can create similar challenges at airports with higher elevations or shorter runways. Researchers say human-caused climate change could make such disruptions more common.

With heat waves searing parts of the US and Europe this summer, Las Vegas illustrated how extreme heat can interfere with air travel. American Airlines offered compensation to customers who voluntarily gave up their seats on a July 24 flight from Harry Reid International Airport after temperatures reached 47 degrees Celsius.

The airline described reducing a plane's weight as a standard industry practice in hot-weather destinations when conditions require it to ensure a safe takeoff.

A Turkish Airlines Boeing 777 takes off from Hatay Airport in Turkey. FILE

The explanation comes down to physics. Hot air is thinner than cool air, making it harder for a plane's wings to generate lift and for jet engines to generate the thrust needed for takeoff, explained Ross Aimer, a retired United Airlines captain and CEO of Aero Consulting Experts.

"There is a science behind all this," Aimer said. "You can't deny the science of flight and what it takes for an airplane to operate."

Aimer likens the effect of high temperatures on airplane performance to athletes competing at high altitude. During this year's World Cup, foreign teams competing in Mexico City — located more than 7,300 feet above sea level — had to contend with thinner air that can leave players fatigued more quickly. "Just like human beings, jet engines require lots of cool, dense air to perform well," Aimer said.

Before every departure, pilots and airlines determine whether an aircraft can safely take off by calculating several key factors, including weight, airport's elevation and outside temperature, said Alan Price, a retired Delta Air Lines captain.

Aircraft at higher elevations are already operating in thinner air, so temperatures don't have to climb as high to affect takeoff performance. Runway length also matters. Airliners need room to build enough speed for takeoff when temperatures soar, and shorter runways leave less distance to do that, Price said.